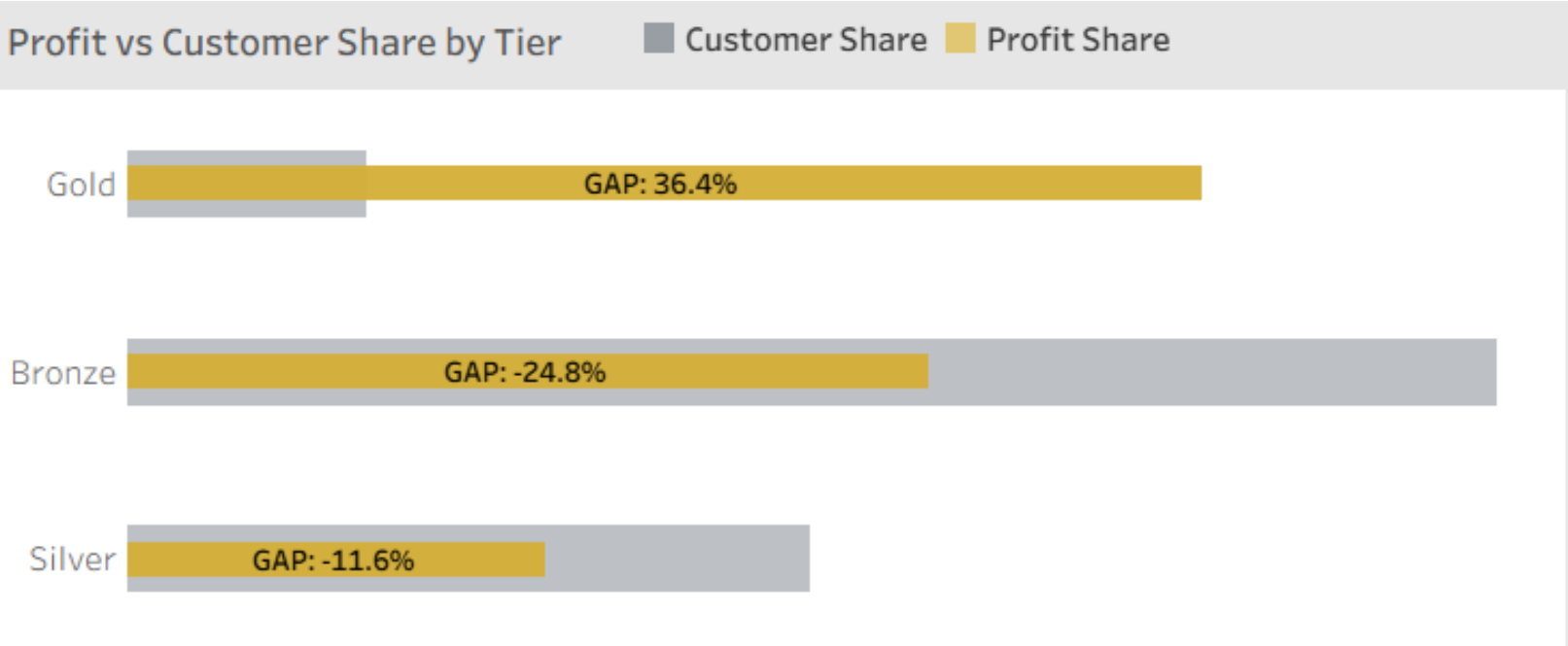
# 10% of customers drive 46% of profit, making retention failure commercially expensive.

***Objective**: identify profit leakage, prioritise high-value customer retention, and define a 90-day recovery plan.*

| NET PROFIT | NET MARGIN | Revenue at Risk (Active Customers with complaints) | Revenue Lost (Complaint-Driven Churn) |
|---|---|---|---|
| £47.0K | 12.9% | £61.1K | £40.3K |
| YTD vs PY: 0.3% | YTD vs PY: -0.7% | *(Current-state indicator)* | *(Current-state indicator)* |



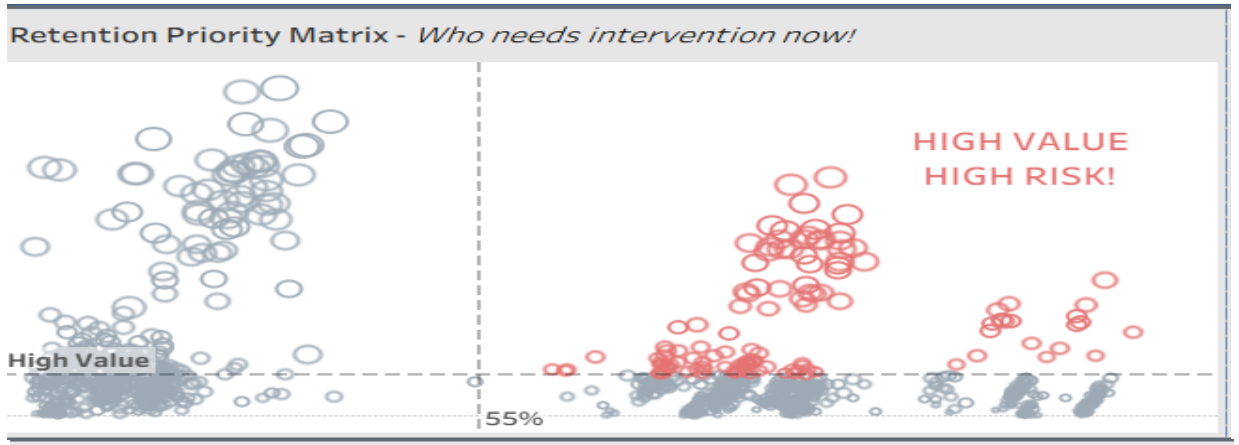

## KEY INSIGHTS

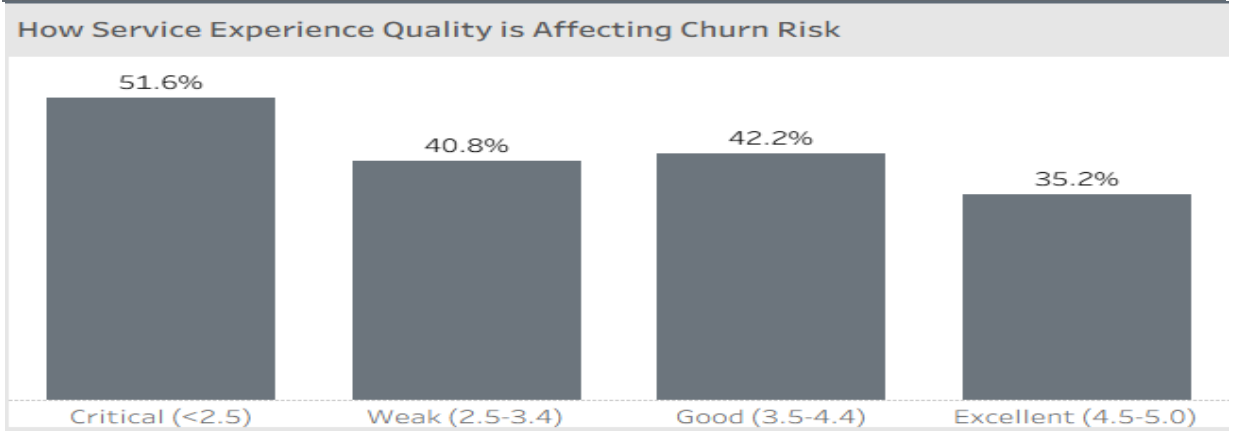
- **Commercial Concentration**: **10% of customers** (Gold) drive **46% of profit**; this "value anchor" demands priority protection.
- **Financial exposure:** service-related friction has already created **£40k in complaint-linked lost revenue** and **£61k in active exposure.**

**So What:** A relatively small customer segment now carries a disproportionate share of commercial value. If the business fails to recover complaint-affected, high-value customers early, current exposure is likely to convert into permanent revenue loss.

This project uses synthetically generated data. All records, patterns, and entities are fictitious and not linked to any real company.

# **Over 85%** of "High Value High Risk" customers are in the critical service band, creating a clear intervention pool.




## KEY INSIGHTS

- **A priority segment is driving the exposure**: the retention matrix isolates a small, high-profit cluster carrying a disproportionate share of churn risk — proving the threat is concentrated, not systemic.
- **Service quality is now a financial trigger**: churn probability jumps from 35.2% to 51.6% in the critical CSAT band, making deteriorating service experience a direct driver of commercial loss.

**So What:** Stop treating retention as a mass-market problem; the financial exposure sits in a small, high-value segment showing clear churn and service deterioration, and they require immediate intervention.

This project uses synthetically generated data. All records, patterns, and entities are fictitious and not linked to any real company.

# A 90-day plan can reduce complaint-linked leakage, protect high-value customers, and create a repeatable retention operating model.

| | 30 days | 60 days | 90 days |
|---|---|---|---|
| Action | Launch a weekly intervention queue for high-value, high-risk customers. | Prioritise fixes in the regions and complaint categories driving the highest complaint-linked revenue loss. | Target high-value at-risk customers with tailored retention and product-pairing interventions. |
| Why it matters | This shifts the business from broad monitoring to targeted customer protection. | Addresses the operational drivers of churn directly instead of treating service issues as general background noise. | Shifts the business from firefighting to protecting value while recovering revenue. |
| Expected Result | Immediate ring-fencing of the value anchor reduces the risk of active exposure turning into permanent churn. | Leakage becomes manageable, and service signals become reliable early-risk flags. | A scalable retention engine that stabilises value and supports growth. |
| | Tactical Stabilisation | Operational Root-Cause Fix | Commercial Recovery and Scale |

This project uses synthetically generated data. All records, patterns, and entities are fictitious and not linked to any real company.